

into consumers' hands, in both rural and urban areas. The FMCG industry had shrunk 1.8 per cent by volume year-on-year in the December quarter—its first decline in five quarters—on falling rural demand. Weak demand is likely to be exacerbated by potentially higher inflation at a time when crude oil prices are hovering around $90 a barrel internationally.

Budget watchers had expected that the government would create something like an urban jobs guarantee scheme, which did not happen. "There were some notable misses in the budget, such as under-provision for MNREGA, food, fertiliser and petroleum subsidies, and inadequate attention towards the health infrastructure and Covid vaccination," says D.K. Srivastava, chief policy advisor, EY India. However, he added, the budget has left some unused additional fiscal space, which can enable the government during the course of the year to make good the under-provisions through suitable supplementary budgets or accelerate the pace of fiscal consolidation.

The government intends to keep spending to boost economic activity without immediately thinking of tightening its purse strings, but doing it gradually over a period. The revised fiscal deficit in the current year is estimated at 6.9 per cent of GDP as against 6.8 per cent projected in the budget estimates. The fiscal deficit in 2022-23 is estimated at 6.4 per cent of GDP, which Sitharaman said is consistent with the broad path of fiscal consolidation or the 'fiscal glide path' she announced last year to reach a fiscal deficit level below 4.5 per cent by 2025-26.

Sitharaman said the budget projects a vision for the economy for the next 25 years—a period she described as "Amrit Kaal"—leading to 100 years of India's Independence. Many experts stress the importance of implementation of these big infra plans as the key to success. As per data from the Controller General of Accounts (CGA), eight months into FY2021-22 (data is available only till November 2021), as much as 40 per cent of the money set aside by the Centre for expenditure was yet to be spent. According to the CGA, the government's total expenditure till November was Rs 20.7 lakh crore as against Rs 34.8 lakh crore earmarked in Budget 2021-22 (see *Fix the Spending Gap,* page 24). "It's one thing to make funds available, another to get projects implemented. There is work to be done on the ground—awarding tenders, obtaining permissions. The Department of Economic Affairs intensively monitored capex last year and will continue to do so. We are optimistic that departments will do better this year," says Somanathan. Quicker implementation is also necessary to ensure that the fruits of this exercise result in putting India on a higher growth trajectory so that the larger targets of creating more jobs and improving people's lives become a reality, sooner rather than later. ■

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– D.K. SRIVASTAVA
Chief Policy Advisor, EY India

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